

executive and independent directors, promoting accountability and effective decision-making.

5.3 Corporate Governance Best Practices

Sound corporate governance is essential for building trust among investors and stakeholders. Best practices include:

5.3.1 Transparency and Disclosure

Companies should maintain transparent communication with stakeholders, providing timely and accurate information. Regular financial reporting, disclosure of material events, and adherence to accounting standards enhance transparency.

5.3.2 Accountability and Ethics

A strong governance framework promotes accountability and ethical behavior. Companies should establish codes of conduct, adhere to legal and regulatory standards, and foster a culture of integrity throughout the organization.

5.3.3 Shareholder Rights

Respecting and protecting shareholder rights is a cornerstone of good governance. Companies should ensure equitable treatment of all shareholders, facilitate shareholder participation in key decisions, and maintain open lines of communication.

5.3.4 Risk Management

An effective board is actively involved in risk oversight. Companies should have robust risk management processes in place, identifying and mitigating potential risks to protect shareholder value.

5.4 Management's Vision and Strategy

5.4.1 Vision

A clear and compelling vision provides a roadmap for a company's future. Investors assess management's ability to articulate a vision that aligns with market trends, customer needs, and shareholder expectations.

5.4.2 Strategy